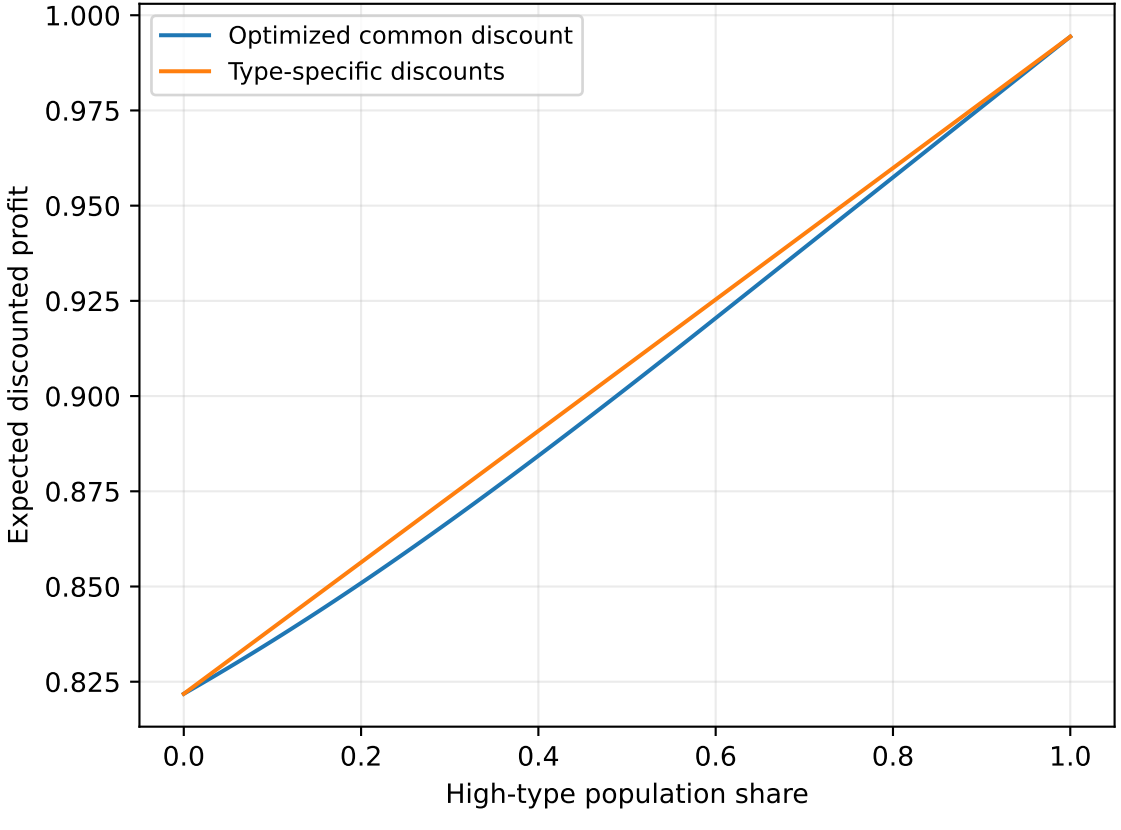
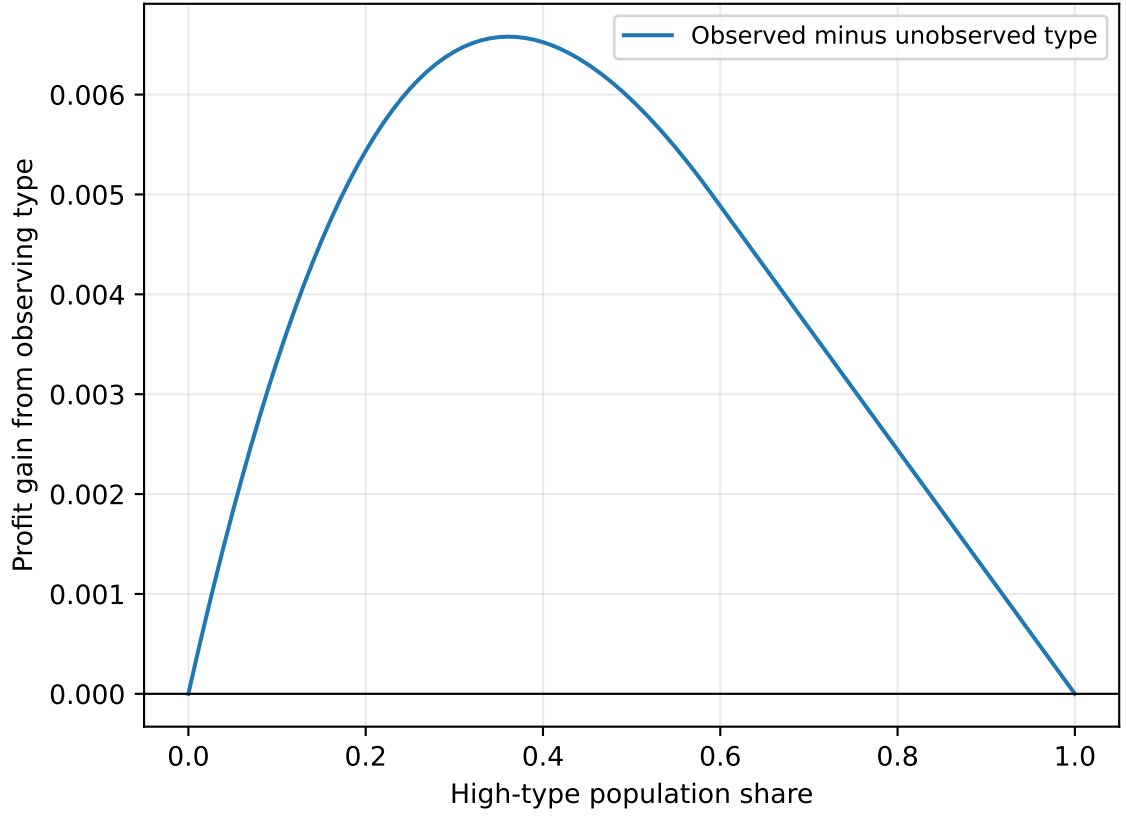

Optimized common discount
Type-specific discounts
Expected discounted profit
1.000
0.975
0.950
0.925
0.900
0.875
0.850
0.825
0.0
0.2
0.4
0.6
0.8
1.0
High-type population share


Observed minus unobserved type
Profit gain from observing type
0.006
0.005
0.004
0.003
0.002
0.001
0.000
0.0
0.2
0.4
0.6
0.8
1.0
High-type population share